Atchison

Atchison Active Long Duration SMA

31 July 2024

PORTFOLIO PERFORMANCE

The Atchison Active Long Duration SMA delivered 1.7% for the month, and 2.8% over the quarter.

Over the last 12 months, the Atchison Active Long Duration SMA delivered 4.4%, beating Inflation by 0.6%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Long Duration SMA has marginally underperformed over the last 12 months.

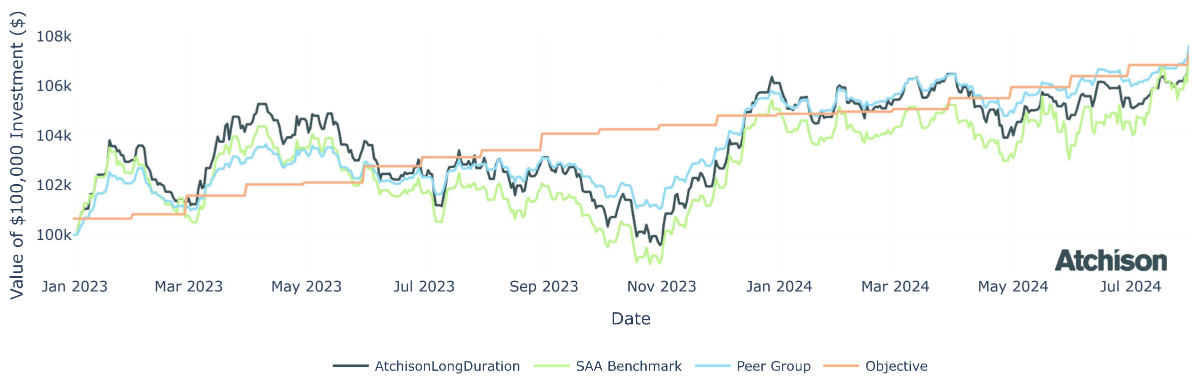
Since inception of the strategy, the Atchison Active Long Duration SMA has delivered 4.6%, marginally beating Inflation by 0.4%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Long Duration SMA has marginally underperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.

Returns vs Benchmarks

	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
AtchisonLongDuration	1.69	2.36	2.85	1.30	4.36	4.55
SAA Benchmark	2.86	3.82	4.16	2.47	5.52	4.71
Peer Group	1.28	1.83	2.47	1.76	4.63	4.74
Inflation	0.42	0.84	1.27	2.22	3.75	4.12

Performance of $100,000 Investment

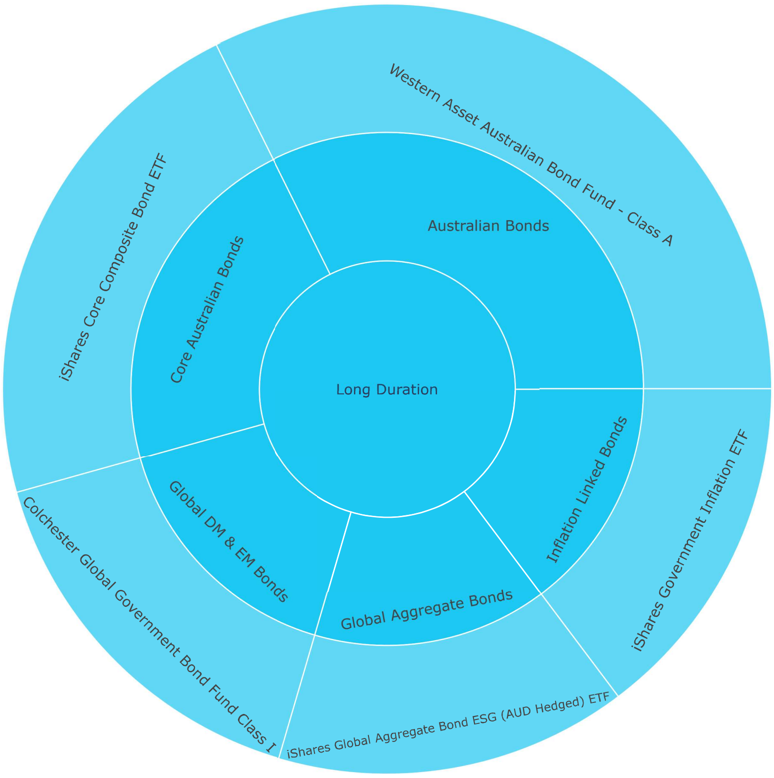


PORTFOLIO COMMENTARY

- On a weighted basis, the largest contributor to the portfolio outcome has been Western Asset Australian Bond Fund - Class A
- The holding that contributed the least to portfolio return was Colchester Global Government Bond Fund Class I
- The current holding with the highest absolute return has been iShares Government Inflation ETF
- Whilst the current holding with the lowest absolute return has been Colchester Global Government Bond Fund Class I

PORTFOLIO CONSTRUCTION

Portfolio Construction - Allocation Category



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MARKET OVERVIEW - July 2024

- Australia's share market made history in July closing above eight thousand points for the first time buoyed by hopes that the US is on the verge of cutting interest rates.
- Seasonally, July is one of the best months of year for Australian equity returns, and July continued that trend returning +4.2% for the month and +13.4% for the year.
- Towards the end of the month weaker than expected Australian inflation numbers (0.8% trimmed mean q-o-q) removed the risk of a near term interest rate hike. Expectations the next move will be down in the first half of CY2025.
- Australia's bond market is currently only pricing a 16% chance that the RBA will lift interest rates to 4.6% in August.
- Australian unemployment rate increased slightly from 4.0% to 4.1% and future indicators point to upward trend.
- The shift in the expected timing of interest rate change weighed on the AUD/USD which fell 1.9% to 65.41c.
- Australian house prices continued to rise unevenly across Australia. Nationally, house prices rose by +0.5% m/m or +7.9% y/y. Perth prices were the strongest out of the capital cities in July, up +0.5% m/m or +7.9% y/y.
- Australian building approvals fell in June (-6.5% m/m) and remain at an exceptionally low level.
- Biden was withdrawing in favour of Kamala Harris, and whether Jerome Powell, Fed Chair would hint when US rate cuts from current 5.5% would start to fall, given US inflation fell to 3%.
- The US market is now pricing in five interest rate cuts in the US over the next 12 months commencing in September.
- The broad global equity market returned +4.1%, but the smaller company version was even higher, returning +9.3%.
- Against the backdrop of potential falling rates, interest sensitive assets outperformed growth and large cap equity indices.
- European Central Banks left rates unchanged. European inflation unexpectantly rose in July to 2.6%.
- Commodities broadly fell but precious metals rose. Steel making commodities suffered as prices fell -8%, impacted by soft Chinese property data and high Chinese (iron ore) port stocks.

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